

2Q26F preview: resilient earnings

JD Retail revenue likely to be weak, yet better than feared; maintain Buy

Expect 2Q26F results to surpass market expectations; maintain Buy

2Q26 was a challenging period for the China e-commerce industry, but we expect JD Retail (JDR) to report a 5.5% y-y decline in revenue, better than market expectation for a 7.5% decline. JDR's operating profit margin (OPM) likely remained largely stable y-y at 4.5% despite the weak top line. As a result, we estimate JDR's operating profit (OP) retreated 5% y-y to CNY13.2bn, 3% above the Bloomberg consensus estimate of CNY12.8bn.

We estimate losses from new businesses amounted to CNY9.05bn. Within this, JD's quick commerce (QC) likely incurred a loss of nearly CNY6.0bn, narrowing significantly both q-q and y-y from the CNY7.9bn loss in 1Q26 and the CNY13.5bn loss a year ago. We expect that JD's other new initiatives, primarily JX and JoyBuy, to report a combined loss of CNY3.1bn, compared to a loss of CNY2.5bn in the prior quarter.

On a consolidated basis, we estimate JD Group's revenue dropped 3% y-y to CNY346bn, 2% above the latest Bloomberg consensus. Meanwhile, consolidated non-GAAP net profit may have grown 14% y-y to CNY8.5bn, beating the latest market consensus by 11%.

Electronic goods (EG) slowing; general merchandise (GM) resilient

We anticipate diverging performances between JD's two key categories. The EG category likely posted a 13% decline in revenue, dragged down by a high base effect. Conversely, the GM category likely rose 6% y-y, driven by impressive 9% growth in JD Supermarket sales. JD Supermarket has been a major driver behind the GM category in recent quarters; based on our estimates, its revenue share has now reached approximately 45%.

Maintain Buy rating, implying 45% upside

We leave our FY26F earnings forecasts largely unchanged and maintain our Buy rating and SOTP-based target price of USD41, implying an unchanged 11x FY26F P/E. We believe JD's supply-chain advantages and strong customer loyalty, backed by a superior fulfillment experience, position the company to deliver resilient growth in the coming years.

Rating Remains	Buy
Target price Remains	USD 41.00
Closing price 10 July 2026	USD 28.20
Implied upside	+45.4%
Market Cap (USD mn)	35,200.9
ADT (USD mn)	274.3

Relative performance chart



Source: LSEG, Nomura

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Year-end 31 Dec	FY25		FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New	
Revenue (mn)	1,309,085	1,396,856	1,351,509	1,539,140	1,448,576	1,686,427	1,544,207	
Reported net profit (mn)	19,631	26,283	26,582	42,232	42,609	56,688	52,738	
Normalised net profit (mn)	27,032	36,926	37,061	53,388	53,439	68,376	63,913	
FD normalised EPS	18.15	25.50	25.60	38.00	38.04	50.06	46.79	
FD norm. EPS growth (%)	-41.6	40.5	41.0	49.0	48.6	31.7	23.0	
FD normalised P/E (x)	11.1	-	7.7	-	5.2	-	4.2	
EV/EBITDA (x)	3.4	-	-0.9	-	0.0	-	-1.5	
Price/book (x)	1.0	-	0.8	-	0.7	-	0.6	
Dividend yield (%)	3.6	-	2.2	-	3.1	-	4.7	
ROE (%)	6.5	8.5	8.6	12.3	12.4	14.5	13.6	
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash	

Source: Company data, Nomura estimates

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Key data on JD.com

Performance

(%)	1M	3M	12M		
Absolute (USD)	-0.9	-2.5	-9.7	M cap (USDmn)	35,200.9
Absolute (USD)	-0.9	-2.5	-9.7	Free float (%)	70.0
Rel to NASDAQ COMPOSITE	-5.3	-17.3	-37.1	3-mth ADT (USDmn)	274.3

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	1,158,819	1,309,085	1,351,509	1,448,576	1,544,207
Cost of goods sold	-974,871	-1,098,970	-1,130,808	-1,209,561	-1,286,325
Gross profit	183,948	210,115	220,701	239,015	257,883
SG&A	-139,919	-200,472	-194,453	-193,793	-200,874
Employee share expense	-5,293	-6,869	-7,244	-7,764	-8,276
Operating profit	38,736	2,774	19,004	37,458	48,733
EBITDA	46,630	11,475	26,703	45,709	57,529
Depreciation	-7,894	-8,701	-7,698	-8,251	-8,796
Amortisation					
EBIT	38,736	2,774	19,004	37,458	48,733
Net interest expense	-2,896	-2,803	-2,803	-2,803	-2,803
Associates & JCEs	2,327	8,025	7,000	7,000	7,000
Other income	13,371	17,327	7,000	7,000	7,000
Earnings before tax	51,538	25,323	30,201	48,655	59,930
Income tax	-6,878	-2,181	-3,624	-5,839	-7,192
Net profit after tax	44,660	23,142	26,577	42,816	52,738
Minorities	3,301	3,511	-5	207	0
Other items	-134	379	10,489	10,415	11,175
Preferred dividends					
Normalised NPAT	47,827	27,032	37,061	53,439	63,913
Extraordinary items	-6,468	-7,401	-10,479	-10,830	-11,175
Reported NPAT	41,359	19,631	26,582	42,609	52,738
Dividends	-8,263	-10,379	-5,866	-8,043	-11,597
Transfer to reserves	33,096	9,252	20,716	34,566	41,141

Valuations and ratios

Reported P/E (x)	7.6	15.3	10.8	6.5	5.1
Normalised P/E (x)	6.5	11.1	7.7	5.2	4.2
FD normalised P/E (x)	6.5	11.1	7.7	5.2	4.2
Dividend yield (%)	2.7	3.6	2.2	3.1	4.7
Price/cashflow (x)	5.4	15.8	3.1	23.1	2.3
Price/book (x)	1.0	1.0	0.8	0.7	0.6
EV/EBITDA (x)	1.4	3.4	-0.9	0.0	-1.5
EV/EBIT (x)	1.7	14.0	-1.2	0.0	-1.7
Gross margin (%)	15.9	16.1	16.3	16.5	16.7
EBITDA margin (%)	4.0	0.9	2.0	3.2	3.7
EBIT margin (%)	3.3	0.2	1.4	2.6	3.2
Net margin (%)	3.6	1.5	2.0	2.9	3.4
Effective tax rate (%)	13.3	8.6	12.0	12.0	12.0
Dividend payout (%)	20.0	52.9	22.1	18.9	22.0
ROE (%)	13.6	6.5	8.6	12.4	13.6
ROA (pretax %)	7.2	1.9	4.9	8.2	10.1

Growth (%)

Revenue	6.8	13.0	3.2	7.2	6.6
EBITDA	41.1	-75.4	132.7	71.2	25.9
Normalised EPS	49.9	-41.6	41.0	48.6	23.0
Normalised FDEPS	49.9	-41.6	41.0	48.6	23.0

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	46,630	11,475	26,703	45,709	57,529
Change in working capital	-1,308	2,403	48,491	-49,355	45,749
Other operating cashflow	12,773	5,113	17,181	15,657	14,983
CF from operations	58,095	18,991	92,374	12,011	118,261
Capital expenditure	-13,201	-13,787	-12,882	-12,359	-11,631
Free cashflow	44,894	5,204	79,492	-348	106,630
Reduction in investments	14,115	57,532	0	0	0
Net acquisitions	-3,394	-1,502	0	0	0
Dec in other LT assets	1,049	-12,138	0	0	0
Inc in other LT liabilities	4,129	13,902	0	0	0
Adjustments	-3,569	-2,175	0	0	0
CF after investing acts	57,224	60,823	79,492	-348	106,630
Cash dividends	-8,263	-10,379	-5,866	-8,043	-11,597
Equity issue	-25,885	-21,397	0	0	0
Debt issue	375	10,268	0	0	0
Convertible debt issue	13,999	0	0	0	0
Others	-992	-10,177	0	0	0
CF from financial acts	-20,766	-31,685	-5,866	-8,043	-11,597
Net cashflow	36,458	29,138	73,626	-8,391	95,034
Beginning cash	71,892	108,350	137,488	211,114	202,723
Ending cash	108,350	137,488	211,114	202,723	297,756
Ending net debt	-83,580	-108,676	-182,302	-173,911	-268,944

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	108,350	137,488	211,114	202,723	297,756
Marketable securities	133,011	87,881	87,881	87,881	87,881
Accounts receivable	25,596	27,333	27,311	31,258	31,178
Inventories	89,326	95,428	40,889	104,921	50,142
Other current assets	30,415	26,291	27,097	27,406	27,836
Total current assets	386,698	374,421	394,291	454,189	494,793
LT investments	116,220	103,818	103,818	103,818	103,818
Fixed assets	88,901	97,852	100,671	102,245	102,378
Goodwill	25,709	26,291	26,291	26,291	26,291
Other intangible assets	44,626	44,601	44,601	44,601	44,601
Other LT assets	36,080	48,218	48,218	48,218	48,218
Total assets	698,234	695,201	717,891	779,362	820,099
Short-term debt	7,581	8,014	8,014	8,014	8,014
Accounts payable	192,860	188,379	185,316	194,521	188,277
Other current liabilities	99,080	109,679	107,477	117,206	114,769
Total current liabilities	299,521	306,072	300,807	319,741	311,060
Long-term debt	24,770	20,798	20,798	20,798	20,798
Convertible debt					
Other LT liabilities	60,646	74,548	74,548	74,548	74,548
Total liabilities	384,937	401,418	396,153	415,087	406,406
Minority interest	0	0	0	0	0
Preferred stock					
Common stock	182,404	141,515	146,394	151,624	157,199
Retained earnings	48,680	73,146	100,734	135,865	176,154
Proposed dividends	8,263	10,379	5,866	8,043	11,597
Other equity and reserves	73,950	68,743	68,743	68,743	68,743
Total shareholders' equity	313,297	293,783	321,738	364,275	413,693
Total equity & liabilities	698,234	695,201	717,891	779,362	820,099

Liquidity (x)

Current ratio	1.29	1.22	1.31	1.42	1.59
Interest cover	13.4	1.0	6.8	13.4	17.4

Leverage

Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (CNY)	26.89	13.18	18.36	30.33	38.61
Norm EPS (CNY)	31.10	18.15	25.60	38.04	46.79
FD norm EPS (CNY)	31.10	18.15	25.60	38.04	46.79
BVPS (CNY)	209.56	206.38	235.44	280.59	331.94
DPS (CNY)	5.53	7.29	4.29	6.20	9.30

Activity (days)

Days receivable	7.2	7.4	7.4	7.4	7.4
Days inventory	29.5	30.7	22.0	22.0	22.1
Days payable	67.2	63.3	60.3	57.3	54.5
Cash cycle	-30.5	-25.3	-30.9	-27.9	-25.0

Source: Company data, Nomura estimates

Company profile

JD is one of the leading ecommerce platforms in China with a focus on 1P model. Its platform also provides marketplace and advertizing services to third-party merchants. JD's subsidiary JD Logistics provides logistics services including transportation, warehousing and delivery.

Valuation Methodology

Our SOTP-based TP is USD41. We value JD Retail at USD21bn based on 6x FY26F P/E. The benchmark index for the company is Nasdaq Composite.

Risks that may impede the achievement of the target price

Downside risks include 1) further deterioration of macro economy, and 2) weaker margin ramp up for JD Retail and/or JD Logistics.

ESG

JD's main ecommerce business is generally environment-friendly as it does not cause pollution directly. Its ecommerce business may indirectly lead to an increase in paper waste from packaging materials used for parcels.

Fig. 1: JD: 2Q26F results preview

2Q26F results preview							
CNYmn	2Q26F	1Q26	2Q25	YoY	QoQ	Cons.	vs Cons.
Revenues	346,397	315,694	356,660	-3%	10%	340,535	2%
Gross profit	54,384	53,047	56,665	-4%	3%	54,904	-1%
Gross margin	15.7%	16.8%	15.9%	-0.2ppt	-1.1ppt	16.1%	-0.4ppt
Non-GAAP op profit	6,484	5,628	896	624%	15%	5,284	23%
Non-GAAP op margin	1.9%	1.8%	0.3%	1.6ppt	0.1ppt	2%	0.3ppt
Non-GAAP net profit	8,464	7,379	7,394	14%	15%	7,591	11%
Non-GAAP net margin	2.4%	2.3%	2.1%	0.4ppt	0.1ppt	2.2%	0.2ppt
Non-GAAP EPADS (CNY)	5.97	5.12	4.97	20%	17%	5.45	10%
Non-GAAP EPS (CNY)	2.98	2.56	2.49	20%	17%	2.72	10%

Source: Company data, Bloomberg Finance L.P. consensus, Nomura estimates

Fig. 2: JD: Revenue mix

Revenue breakdown					
CNYmn	2Q26F	1Q26	2Q25	YoY	QoQ
Electronics and home appliances	155,714	132,171	178,982	-13%	18%
General merchandise	109,755	112,648	103,432	6%	-3%
Net products revenues	265,469	244,819	282,414	-6%	8%
Marketplace and advertising	30,788	26,517	28,507	8%	16%
Logistics and others	50,141	44,358	45,739	10%	13%
Net services revenues	80,928	70,875	74,246	9%	14%
Total net revenues	346,397	315,694	356,660	-3%	10%

Source: Company data, Nomura estimates

Fig. 3: JD: Segment-wise operating results

Segment operating results					
CNYmn	2Q26F	1Q26	2Q25	YoY	QoQ
Net Revenue					
JD Retail	293,021	268,588	310,075	-6%	9%
JD Logistics	64,320	60,581	51,564	25%	6%
New businesses	8,311	6,279	13,852	-40%	32%
Total segment revenues	346,397	315,694	356,660	-3%	10%
Operating income - non-GAAP					
JD Retail	13,245	14,960	13,939	-5%	-11%
JD Logistics	2,285	1,020	1,958	17%	124%
New businesses	(9,045)	(10,352)	(14,777)	na	na
Total non-GAAP OP income	6,484	5,628	896	624%	15%
Operating margins					
JD Retail	4.5%	5.6%	4.5%	0.0ppt	-1.0ppt
JD Logistics	3.6%	1.7%	3.8%	-0.2ppt	1.9ppt
New businesses	-108.8%	-164.9%	-106.7%	-2.2ppt	56.0ppt
Consolidated OPM (non-GAAP)	1.9%	1.8%	0.3%	1.6ppt	0.1ppt

Note: * excluding gain on sale of development properties and impairment of long-lived assets.

Source: Company data, Nomura estimates

Fig. 4: JD: Revisions to our earnings estimates

Nomura new estimates vs old						
(CNYmn)	FY26F			FY27F		
	New	Old	Diff	New	Old	Diff
Revenue	1,351,509	1,396,856	-3%	1,448,576	1,539,140	-6%
Gross profit	220,701	228,107	-3%	239,015	253,958	-6%
Gross margin	16.3%	16.3%	0.0ppt	16.5%	16.5%	0.0ppt
Non-GAAP op	27,484	27,307	1%	46,287	46,186	0%
Non-GAAP op margin	2.0%	2.0%	0.1ppt	3.2%	3.0%	0.2ppt
Non-GAAP net profit	37,061	36,926	0%	53,439	53,388	0%
Non-GAAP net margin	2.7%	2.6%	0.1ppt	3.7%	3.5%	0.2ppt
Non-GAAP EPADS (CNY)	25.60	25.50	0%	38.04	38.00	0%

Source: Nomura estimates

Fig. 5: JD: SOTP model

	Valuation (USDbn)	Stake	Attributable valuation (USDbn)	Value per share (USD)	Note
JD Retail (excl. JDH&JD Industrials)	21.1	100%	21.1	15	6x FY26F JD Retail's earnings, implying 1x PEG
Subsidiaries:					
JD Logistics (2618 HK, Buy)	16.5	63%	10.4		Nomura's target valuation for JD Logistics
JD Technology (JD Digits)	19.0	55%	10.4		Based on valuation of previous financing in 2Q18
JD Health (6618 HK, Buy)	26.6	67%	17.8		Nomura's target valuation for JD Health
JD Property	10.0	100%	10.0		Based on valuation of Round B financing in 1Q22
JD Industrials (7618 HK, Not rated)	4.6	71%	3.3		Latest market cap for JD Industrials
Sub-total for subsidiaries	76.7		51.9		
Holding discount			40%		
Attributable valuation to JD			31.1	22	
Net cash	15.3				
Cash after discount		50%	7.6	5	
Total			59.9	41	

Source: Company data, Nomura estimates

Appendix A-1

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Materially mentioned issuers

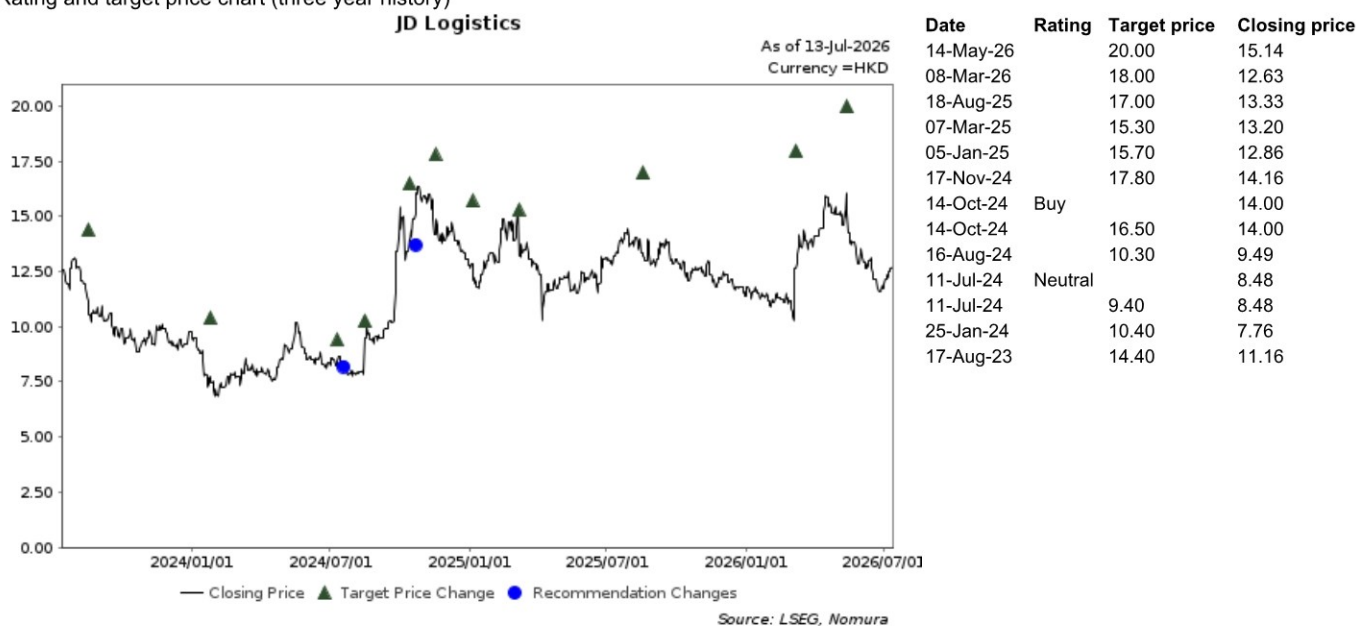
Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
JD Logistics	2618 HK	HKD 12.72	13-Jul-2026	Buy	N/A	
JD Health	6618 HK	HKD 36.70	13-Jul-2026	Buy	N/A	
JD.com	JD US	USD 28.20	10-Jul-2026	Buy	N/A	A10

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JD Logistics (2618 HK)

HKD 12.72 (13-Jul-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We use P/E as our primary valuation methodology to derive our TP of HKD20, based on 12x FY26F P/E. The benchmark index for the stock is the Hang Seng Index.

Risks that may impede the achievement of the target price Downside risks include: 1) intensifying competition from existing players and new entrants, 2) slower-than-expected customer acquisition, and 3) regulatory risks.

JD Health (6618 HK)**HKD 36.70 (13-Jul-2026) Buy** (Sector rating: N/A)

Rating and target price chart (three year history)



Source: LSEG, Nomura

Date	Rating	Target price	Closing price
14-May-26		67.00	48.36
16-Nov-25		80.00	68.75
18-Aug-25		72.00	66.40
14-Jul-25		52.00	43.75
06-Jun-25		49.00	39.60
14-May-25		44.00	39.95
09-Mar-25		41.50	35.75
15-Nov-24		31.00	27.60
18-Aug-24		25.00	21.45
21-Mar-24		37.00	32.10
18-Jan-24		44.00	27.85
18-Aug-23		60.00	41.15

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We use adjusted P/E i.e. (market cap – net cash)/adjusted operating profit as our primary valuation methodology to derive our TP of HKD67, based on 21x FY26F adjusted P/E. The benchmark index for the stock is the Hang Seng Index.

Risks that may impede the achievement of the target price Downside risks include: 1) regulatory risks on online pharmaceutical/healthcare service industry, 2) intensifying competition from emerging players; and 3) slower-than-expected monetization of healthcare services.

JD.com (JD US)**USD 28.20 (10-Jul-2026) Buy** (Sector rating: N/A)

Rating and target price chart (three year history)



Source: LSEG, Nomura

Date	Rating	Target price	Closing price
14-May-26		41.00	32.86
06-Mar-26		40.00	27.03
14-Nov-25		37.00	29.31
18-Aug-25		43.00	31.77
10-Jul-25		45.00	31.22
14-May-25		52.00	35.73
08-Mar-25		55.00	42.29
16-Nov-24		50.00	35.00
15-Oct-24		53.00	40.16
12-Jul-24		38.00	28.15
17-May-24		42.00	35.27
07-Mar-24		33.00	23.99
17-Nov-23		36.00	27.61
12-Oct-23		45.00	27.83
17-Aug-23		48.00	34.76

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our SOTP-based TP is USD41. We value JD Retail at USD21bn based on 6x FY26F P/E. The benchmark index for the company is Nasdaq Composite.

Risks that may impede the achievement of the target price Downside risks include 1) further deterioration of macro economy, and 2) weaker margin ramp up for JD Retail and/or JD Logistics.

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As at 30 June 2026.

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** As defined by the EU Market Abuse Regulation

Definition of Nomura Group's equity research rating system and sectors

The rating system is a relative system, indicating expected performance against a specific benchmark identified for each individual stock, subject to limited management discretion. An analyst's target price is an assessment of the current intrinsic fair value of the stock based on an appropriate valuation methodology determined by the analyst. Valuation methodologies include, but are not limited to, discounted cash flow analysis, expected return on equity and multiple analysis. Analysts may also indicate expected absolute upside/downside relative to the stated target price, defined as (target price - current price)/current price.

STOCKS

A rating of '**Buy**', indicates that the analyst expects the stock to outperform the Benchmark over the next 12 months. A rating of '**Neutral**', indicates that the analyst expects the stock to perform in line with the Benchmark over the next 12 months. A rating of '**Reduce**', indicates that the analyst expects the stock to underperform the Benchmark over the next 12 months. A rating of '**Suspended**', indicates that the rating, target price and estimates have been suspended temporarily to comply with applicable regulations and/or firm policies. Securities and/or companies that are labelled as '**Not rated**' or shown as '**No rating**' are not in regular research coverage. Investors should not expect continuing or additional information from Nomura relating to such securities and/or companies. Benchmarks are as follows: **United States/Europe/Asia ex-Japan**: please see valuation methodologies for explanations of relevant benchmarks for stocks, which can be accessed at: <http://go.nomuranow.com/research/m/Disclosures>; **Global Emerging Markets (ex-Asia)**: MSCI Emerging Markets ex-Asia, unless otherwise stated in the valuation methodology; **Japan**: Russell/Nomura Large Cap.

SECTORS

A '**Bullish**' stance, indicates that the analyst expects the sector to outperform the Benchmark during the next 12 months. A '**Neutral**' stance, indicates that the analyst expects the sector to perform in line with the Benchmark during the next 12 months. A '**Bearish**' stance, indicates that the analyst expects the sector to underperform the Benchmark during the next 12 months. Sectors that are labelled as '**Not rated**' or shown as '**N/A**' are not assigned ratings. Benchmarks are as follows: **United States**: S&P 500; **Europe**: Dow Jones STOXX 600; **Global Emerging Markets (ex-Asia)**: MSCI Emerging Markets ex-Asia. **Japan/Asia ex-Japan**: Sector ratings are not assigned.

Target Price

A Target Price, if discussed, indicates the analyst's forecast for the share price with a 12-month time horizon, reflecting in part the analyst's estimates for the company's earnings. The achievement of any target price may be impeded by general market and macroeconomic trends, and by other risks related to the company or the market, and may not occur if the company's earnings differ from estimates.

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